

or 2 "if they write decent reports," or I "for just existing." "I try never to give a complete zero vote," she said. "Sometimes, I'll give a '1' vote to an analyst just because he's funny."

What makes these votes so important is that they translate into dollars. This goes back to what I mentioned earlier, the day in 1975 when fixed commission rates were abolished. If Ms. Hall, for instance, gets a good grade from Ms. Molter at Citicorp, it means that Citicorp will purchase more stock through Ms. Hall's firm, Prudential-Bache. Prudential-Bache will get a bigger commission, and Ms. Hall will get a sizable bonus. If Ms. Hall gets a bad grade, then both she and her firm will suffer. The annual profits of big brokerage firms like Merrill Lynch and Paine Webber depend on the grades its sell-side analysts receive from buy-side analysts at the big institutions that buy most of the stock.

No wonder so many of the sell-side analysts were gregarious, well-spoken, beautiful, diplomatic, and not at all the back-room types I had imagined. No wonder they spend so much time courting the big clients on the phone. They're constantly struggling for better grades. The only way average investors could compete for their attention is if we sent out report cards ourselves.

Ms. Molter didn't say so directly, but of all the Gillette analysts, I sensed that she favored Ms. Temple of Salomon Brothers. She praised Ms. Temple so enthusiastically that I'd bet Ms. Temple got a lot of her votes. That Ms. Temple had a lukewarm opinion on Gillette should have prepared me for the following disturbing news.

When finally I revealed to Ms. Molter that her firm and I had had something in common—their 1.6 million shares to my 53—she confided that Citicorp portfolio managers had been dumping the stock at a rapid rate and had reduced their holdings to less than 600,000 shares. Maybe 53 of theirs had ended up with me.

"Wiser than trusting in oracles," as Euripides said, "is to be friends with the gods." For some reason, I quoted this to Ms. Molter, which was another mistake. After that, she didn't seem so anxious to refer me to any portfolio manager at her institution, and claimed that all the best ones were either sick or out of town. Anyway, since Gillette had gone up four points and her Citicorp